Carraro India Ltd

Concall tracker · filed under Q2-2027 · 11 Nov 2026

1. Snapshot

Carraro India, part of Italy's Carraro Group, makes axles, transmissions and gears for tractors and construction equipment such as backhoe loaders and tele-boom handlers. It sells to Indian and international OEMs (vehicle makers), exports partly through the group, and also earns from spare parts and engineering services.

- Market cap about Rs 2,804 cr.
- Q2 FY27 revenue from operations Rs 696.5 cr, up 19%; domestic revenue up 33%, exports down 4%: India is doing the lifting.
- Q2 FY27 EBITDA Rs 65.2 cr, up 10%, but margin 9.2% vs 10.0% a year ago: costs rose faster than prices.
- Q2 FY27 PAT Rs 35.1 cr, up 11%. Gross margin fell to 23.3% from 26.4% on raw material, energy and transport costs.
- H1 FY27 revenue up 15%, EBITDA up 8%, PAT up 9%; other income included a one-time Rs 8.8 cr customs provision write-back in Q1.
- FY26 EBITDA margin 10.8% vs 10.2% in FY25.

2. Concall coverage

Screener lists 7 transcripts since the December 2024 listing; all were read. The Q2 FY27 earnings call was held (audio is out) but its transcript is not yet published on Screener, the exchanges or the company site, so the latest quarter is read from the Q2 FY27 investor presentation (6 Nov 2026). The Q1 FY27 call (Aug 2026) is the latest transcript read in full.

Quarter / call	Date	Transcript read?
Q3 FY25	Feb 2025	Yes
Q4 FY25	Jun 2025	Yes
Q1 FY26	Aug 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	Jun 2026	Yes
Q1 FY27	Aug 2026	Yes, read in full
Q2 FY27 investor presentation (call transcript pending)	6 Nov 2026	Presentation read

2b. Latest update highlights: Q2 FY27 investor presentation (Nov 2026)

- Revenue up 19%: domestic up 33% on demand for agricultural 4WD axles and construction equipment; exports down 4% on West Asia supply-chain disruptions.
- Margins down: EBITDA margin 9.2% vs 10.0%. The company is trying to recover higher raw material, energy and transport costs from customers, with a time lag. Margin recovery 'expected to be more gradual'.
- New programmes: tele-boom handler axle ramp-up for a major international OEM, two customers in series production with 4-5 more in testing; one of seven new prototypes went into production in H1.
- Engineering services: Montra Electric e-transmission prototype order for field validation; a new assignment from a customer in western India. Bull-gear nomination with a large global OEM.
- Revenue 'broadly aligned' with the FY27 growth outlook (8-12% guided in June 2026).

2c. Business mix & capacity

- Domestic about 70% / exports about 30% of Q2 FY27 revenue (Rs 486 cr vs Rs 210 cr): India is now the main driver.

- Capacity: plant running at about 90% utilisation (Feb 2026); capacity being added (portal axle, 4WD differential-support line commissioned; new paint shop under construction). H1 FY27 capex Rs 20.4 cr.

3. Earning trigger thesis

The trigger is India's shift from 2WD to 4WD tractors, which needs the axles Carraro makes. Demand for these axles is growing faster than the tractor market, and domestic revenue rose a third in Q2. Tele-boom handlers and engineering services add more. The catch is margin: management promised at least one point of EBITDA margin gain a year, and instead margins are falling this year on input costs.

Trigger	What management said	Evidence so far	Time horizon	Strength
Domestic 4WD tractor axles	4WD shift outpacing tractor industry; capacity being added	Domestic revenue up 33% in Q2, 30% in H1	Now	Strong
Tele-boom handler axles	New range for a major international OEM, Indian OEM projects	Two customers in series production	FY27-28	Moderate
Margin up 1 point a year	Medium-term goal from FY25's 10.2%	FY26 10.8%; H1 FY27 9.7%	3 years	Weak so far
Higher-HP transmissions for exports	Export programmes	Exports down 9% in H1	Unclear	Weak

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed
New business	Yes	Rs 17.5 cr engineering services deal with Montra Electric for electric tractor transmissions (Jun 2026); new assignment in western India (Nov 2026 presentation)
Margin up	No	EBITDA margin fell to 9.2% from 10.0% (Nov 2026 presentation)
New management	No	No change announced
New capacity	Yes	Portal axle and 4WD differential-support capacity commissioned; new paint shop under construction (Aug 2026 call, Nov 2026 presentation)
Big orders	No	Bull-gear nomination named, no order book given
Turnaround	No	Not applicable
Promoter buying	No	Not said

Single concrete driver: India's shift to 4WD tractors is driving fast growth in Carraro's domestic axle sales, with capacity being added to keep up.

3c. Margin bridge

EBITDA margin fell to 9.2% in Q2 FY27 from 10.0% a year ago, and gross margin to 23.3% from 26.4%, on higher raw material, energy, transport and conversion costs. The company is passing these on to customers with a lag and expects a gradual recovery. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb 2025 call	FY25 double-digit EBITDA margin	FY25 margin 10.2%	Delivered
Jun 2025 call	FY26 revenue growth 8-12%	FY26 revenue up about 25%	Delivered (beat)

Jun 2025 call	EBITDA margin up at least 1 point a year	FY26 10.8% (+0.6); H1 FY27 9.7% (down)	Missed
Jun 2026 call	FY27 revenue growth 8-12%	H1 up 15%	Delivered (so far)
Jun 2026 call	EBITDA margin improvement in FY27	Q1 10.4%, Q2 9.2%	Missed (so far)

The growth story has stayed the same since listing and revenue guidance has been beaten each year, with a FY30 'north star' of Rs 3,500 cr raised from Rs 3,200 cr. The margin promise has quietly softened from 'one point a year' to 'gradual recovery'. Exports keep disappointing.

5. Bottom line

Durable earning trigger? → YES

The 4WD axle shift is concrete, repeated on every call and clearly in the numbers, with domestic sales up about a third. It isn't turning into much profit growth yet because margins are being squeezed.

Management consistent? → MAYBE

Revenue promises have been met or beaten. Margin promises haven't: the one-point-a-year goal was missed in FY26 and margins are falling in FY27. Mixed.

6. Checkpoints for next quarter

- Cost recovery from customers lifts EBITDA margin back above ten percent
- Domestic 4WD axle sales keep growing faster than the tractor market
- Full-year revenue growth stays within or above the 8-12% guidance

Sources: Screener.in (CARRARO) concall transcripts Feb 2025 to Aug 2026; Q2 FY27 investor presentation (6 Nov 2026, BSE); Screener financial tables. This is not investment advice. Do your own due diligence.